

SME RISK INTELLIGENCE REPORT

Early Warning & Risk Assessment — SME_0071

Overall Risk Score: 68.15 Classification: CRITICAL REVIEW

1. Executive Risk Profile

Risk Dimension	Score	Priority
Financial	97.42	Critical
Insurance	85.92	High
Operational	56.51	Moderate/High
Fraud	49.50	Moderate
Compliance	42.00	Moderate

Financial resilience is the dominant risk concern, followed by insurance protection and operational exposure.

2. Financial Profile

Indicator	Value
Monthly Revenue	\$5,407.86
Monthly Expenses	\$43,951.79
Cash Balance	\$2,836.08
Debt / Revenue	21.79x
Expense Ratio	8.13x
Cash Coverage	0.06 months

The profile signals severe pressure: expenses substantially exceed revenue, debt is very high relative to revenue, and cash provides only a fraction of one month of expenses.

3. Insurance Profile

Indicator	Status
Insurance Coverage Ratio	0.35
Business Interruption Cover	NO
Liability Cover	NO

Insurance protection appears insufficient relative to identified exposure, with major gaps in business-interruption and liability protection.

4. Key Findings

- High debt relative to revenue.
- Expenses exceed monthly revenue.
- Liquidity covers less than one month.
- High customer concentration.
- High employee turnover.

- Fraud incidents detected.
- Tax compliance issue detected.
- Low insurance coverage.
- No business-interruption cover.
- No liability cover.

5. Financial Stress Testing

Scenario	Debt/Revenue	Expense Ratio	Cash Coverage	Estimated Risk
Stress	32.68	10.57	0.03	99.22
Current	21.79	8.13	0.06	97.71
Improvement	15.25	6.50	0.10	95.35

The sensitivity analysis shows higher estimated risk under worsening debt, expense and liquidity conditions, and lower risk under the improvement scenario.

6. Priority Management Actions

1. Review debt structure and develop a debt-reduction or restructuring plan.
2. Conduct an expense review and identify immediate cost-reduction opportunities.
3. Build liquidity reserves and establish a minimum cash-buffer target.
4. Diversify the customer base to reduce dependence on major customers.
5. Investigate employee turnover drivers and strengthen retention measures.
6. Investigate fraud incidents and strengthen internal controls and monitoring.
7. Introduce regular cash reconciliations and independent verification.
8. Introduce segregation of duties for cash, purchasing and payment processes.
9. Review outstanding tax obligations and establish a tax-compliance calendar.
10. Establish a central document register and close documentation gaps.
11. Review insurance sums insured and close significant coverage gaps.
12. Assess the need for business-interruption insurance.
13. Assess appropriate liability insurance protection.

7. Analyst Interpretation

SME_0071 should receive immediate management attention. The most urgent issues are financial sustainability and protection against major insured losses. The combination of very high debt relative to revenue, an expense burden above revenue, and extremely low cash coverage suggests limited short-term financial resilience.

8. Methodology & Limitations

This report uses a synthetic SME dataset and a prototype risk-scoring framework developed for analytical and portfolio demonstration purposes. Scores are indicators rather than regulated credit ratings, underwriting decisions, or investment recommendations. Real-world deployment would require validation against historical outcomes, expert review, governance controls and calibration.

Project: SME Risk Intelligence & Early Warning System

Author: Munashe Sylvester Khembo

Technology: Python, Pandas, NumPy, Matplotlib, Google Colab